

ECONOMICS

Paper 1 Multiple Choice

2281/11

May/June 2019

45 minutes

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Solved by :-

Zarakh Mushtaq

This document consists of **9** printed pages and **3** blank pages.

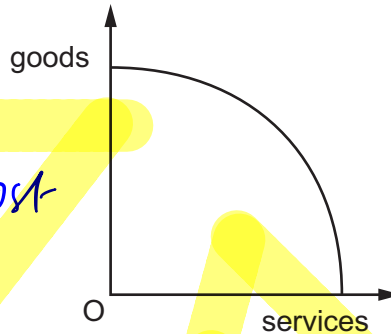
1 What would an economist regard as an example of the factor of production capital?

- A an individual's purchase of stocks and shares
- B borrowing by a firm to pay for electricity
- ☒ C the building by a firm of a new factory
- D total savings by individuals in a country

Man-made resource,
e.g. Machines,
payment/reward
is interest

2 The diagram shows a production possibility curve (PPC).

* It's bowed outward
* Shows concept of increasing opportunity cost



Why is the curve usually drawn like this?

- A International free trade exists. That's point outside PPC.
- ☒ B Opportunity cost changes.
- C Resources are unlimited in supply. Never
- D Some resources will be unemployed. That's point inside PPC

3 In recent years more golf courses, which use large quantities of water, have opened in China.

What may be the opportunity cost of this?

- A cost of water
- ☒ B loss of farmland
- C sales of golf equipment
- D wages of golf course staff

Repeated in May/June 2019
V12. (mcQ No. 3)

4 Which situation indicates a mixed economy?

- A Economic activity is controlled entirely by the private sector. *market economy*
- B Individual choices are unaffected by government actions. *They are affected*
- ☒ C Services are provided by both private and public sectors. *yes*
- D The government carries out all planning and decision making. *Planned economy*

Private and public sector

* freely functioning markets fails to allocate resources from society point of view.

5 What causes market failure?

- A government provision of services
- B social costs equal private costs
- ☒ C the existence of external benefits
- D the existence of perfect competition

This corrects it

$$SC = PC + EC$$

Merit goods, lack of information, underconsumed

perfect knowledge, NO market failure

6 A newspaper reported that 'The world market for coffee has returned to equilibrium'. $D = S$

Which situation supports this statement?

- A A sequence of poor harvests resulted in shortages.
- B Decreased transport costs led to a surplus of supply.
- ☒ C Farmers matched demand by planting more coffee bushes.
- D The price of coffee was fixed between producers.

Shortage and surplus represents dis-equilibrium

Higher demand was met by rise in supply to eliminate shortage

No Equilibrium as it is fixed by producers

7 The table shows the demand schedule for a good at different prices.

price \$	quantity demanded
8	200
10	160
12	120
14	60

$$10 \times 20\% = 2$$

$$10 + 2 = 12$$

New price

old Q

New Qty

Q ↓ by 40, that is -40

The current market price for the good is \$10.

P ↑ Q ↓

Following a 20% increase in price, what will be the change in the quantity demanded?

- A -60
- ☒ B -40
- C +120
- D +200

8 Carlos has been offered a new job with a large multinational company. He is undecided whether to accept the position.

What is a non-wage factor he might consider?

- A bonus payments
- ☒ B holiday entitlement
- C overtime rate
- D salary level

Financial motives

Non-wage factor

- 9 Unlike the UK and US, a significant proportion of the shares on the stock exchanges of China and Russia are of state-owned enterprises.

Which judgement about China and Russia can be made from this information?

- A their distribution of income and wealth
- B their level of development
- C their stages of production
- ☒ D their type of economic system

No information given

Economic system is planned / command!

- 10 What is the most important factor that affects how much a family saves?

- ☒ A the income of the family
- B the level of taxation
- C the rate of inflation
- D the reliability of banks

Repealed, May / June 2019, V12, MCQ '10'.

- 11 The table shows the change in real incomes for a number of occupations between 1985 and 2015.

occupation	change in real income %
doctors	153
lawyers	114
accountants	60
bricklayers	37
bus and coach drivers	19
fork-lift truck drivers	-5

Repealed, May / June 2019, V12, MCQ '11'

What can be concluded from the table?

- A All occupations were better off in 2015 than in 1985.
- B Fork-lift truck drivers earned the lowest wages in 2015.
- C Doctors have earned more than lawyers since 1985.
- ☒ D Professionals received higher percentage increases in income than manual workers.

* conglomerate, in business, a corporation formed by the acquisition by one firm of several others, each of which is engaged in an activity that generally differs from that of the original.

* Horizontal integration is the acquisition of a business operating at the same level of the value chain in the same industry—that is, they make or offer similar goods or services.

5

12 A large bakery buys a flour mill.

Which form of integration is this?

A conglomerate

B horizontal, *same stage of production*

☒ C vertical backwards

D vertical forwards

* Backward vertical integration involves acquiring a business operating earlier in the supply chain – e.g. a retailer buys a wholesaler, a brewer buys a hop farm. Another good example was Apple Inc. buying a chip supplier Dialog in 2018.

* Forward integration is a business strategy that involves a form of downstream vertical integration whereby the company owns and controls business activities that are ahead in the value chain of its industry, this might include among others direct distribution or supply of the company's products.

It's not easy to run or managed, costly!
13 Why is the energy supply industry dominated by very large firms in many economies?

A Government controls prevent the exploitation of consumers.

☒ B High fixed capital costs exist.

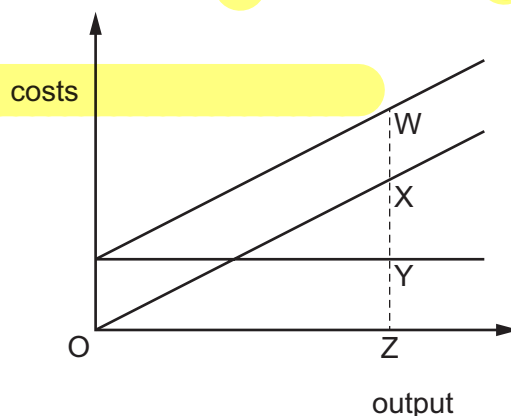
C Labour-intensive production techniques are used.

D Non-price advertising increases competition.

No firms if government controls.

*No
Large firms and competition are opposites.*

14 The diagram shows the fixed costs, variable costs and total costs of a firm.



*Repeated
m/J 2019
V12
Q14*

Which distance represents the firm's fixed costs?

☒ A WX

B WY

C XY

D XZ

15 An entrepreneur buys a workshop for \$200 000 to make plastic boxes. In the first year of operation he spends \$70 000 on materials, employs ten production workers paid by the amount produced (piece rate) at a total cost of \$80 000 and buys two delivery vehicles for \$10 000 each.

What are his total variable costs?

A \$100 000

☒ B \$150 000

C \$220 000

D \$370 000

' Repeated, m/J 2019, V12, Q15 '

Impact on him Progressive tax

6

e.g. Unemployment Benefits

- 16 A government increases the rate of income tax in order to pay for extra transfer payments, including cash benefits to the poor.

What must occur as a result of this?

Concept of Re-distribution of income and wealth.

☒ A It changes the distribution of income.

☐ B It ensures the equality of incomes. *Can't be*

☐ C It leads to more people paying income taxes. *Only those with greater income*

☐ D It reduces the level of unemployment. *No*

Indirect tax

- 17 The standard rate for Value Added Tax (sales tax) is 20% in a country. Different consumers buying the same product have to pay the same amount of tax.

What kind of tax is this?

Regressive.

A regressive tax is one where the average tax burden decreases with income. Low-income taxpayers pay a disproportionate share of the tax burden, while middle- and high-income taxpayers should a relatively small tax burden.

☐ A direct

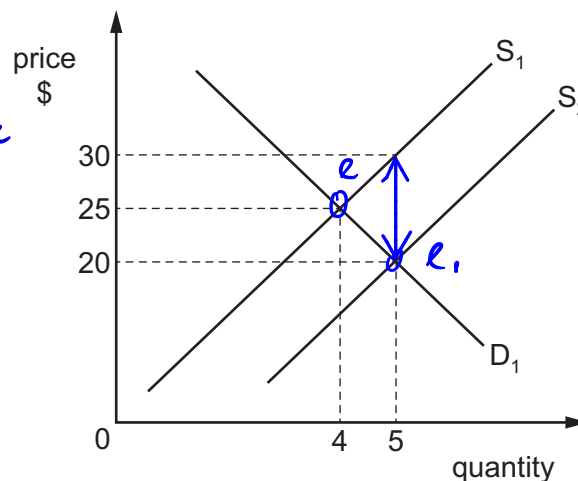
☐ B progressive *linked*

☐ C proportional *linked with income*

☒ D regressive

- 18 The diagram shows the demand curve D_1 and supply curve S_1 for a good. The government introduces a subsidy to encourage production.

vertical distance between 2 supply curve is per unit subsidy
i.e. $30 - 20 = 10$
units being sold after subsidy, 5



What will be the total cost of the subsidy to the government?

☐ A \$40

☒ B \$50

☐ C \$100

☐ D \$150

So, $10 \times 5 = 50$.

In simple words, 5 units are being sold after subsidy and in each unit, \$10 is paid by government, so total of \$50 paid by government.

19 Which statement about interest rate changes is accurate?

- A A fall in interest rates will always increase inflation. *not always* *People can still save additional*
- ✓ B A rise in interest rates may increase cost-push inflation. *R ↑, cost of Borrowing ↑, cost ↑*
- C A rise in interest rates will raise the level of investment in a country. *R ↑ I ↓* *AS ↓*
- D Interest rate changes have no impact on the level of production. *prices ↑*

20 In Uganda, the rate of inflation fell from 5% in 2014 to 2% in 2015. *Rate fell, not prices*

Which conclusion can be drawn from this information?

- ✓ A Prices were higher in 2015 than in 2014. *Prices are still increasing but at a decreasing rate.*
- B The cost of living fell between 2014 and 2015. *rose*
- C The standard of living fell between 2014 and 2015. *rose*
- D Ugandan citizens were better off in 2015 than 2014. *No P ↑*

21 What would not increase the Human Development Index (HDI) of a country? *It is a measure of standard of living*

- ✓ A an increase in the level of car ownership *Nothing to do with HDI!*
- B an increase in life expectancy at birth *All part of HDI*
- C a rise in the GDP per head *All part of HDI*
- D a rise in the number of years of schooling *All part of HDI*

22 A country is experiencing a period of full employment. *(operating at full capacity)*

What is most likely to lead to an increase in demand-pull inflation?

- ✓ A an increase in government spending *G ↑, AD ↑, P ↑*
- B an increase in imports *M ↑, AD ↓, P ↓*
- C an increase in income tax rates *C ↓, AD ↓, P ↓*
- D an increase in sales tax *cost push inflation*
AS ↓, P ↑, C ↓, AD ↓

- 23 The table shows the percentage change from 2015–2016 in gross domestic product (GDP) and consumer prices for selected countries.

Which country was suffering from economic recession and inflation?

	country	GDP	consumer prices
A	Australia	+1.8	+1.3
B	Brazil	-2.9	+8.3
C	China	+6.7	+2.0
D	Japan	+1.1	-0.2

→ Highest % ↑ in prices

→ only one country with -ve output.

- 24 Which policy is most likely to reduce relative poverty?

A make income tax rates less progressive *makes rich better off.*

B reduce benefit payments *worsen*

C reduce the minimum wage *worsen*

D reduce the rate of sales tax → *sales tax impacts on poor, creates inflationary pressure, reducing it will lower prices, raises affordability*

- 25 Given the following information, which country is most likely to have the highest standard of living?

Repeated, M/J, 2019, V12, Q25.

		birth rate	death rate	life expectancy	infant mortality rate
A	Bangladesh	27	10	58	93
B	Bhutan	36	14	53	107
C	Botswana	31	21	40	57
D	Brunei	25	5	72	22

Repeated, M/J, 2019, V12, Q26

- 26 In a country the birth rate increased but the population decreased.

What could have happened to other factors to cause this?

A a fall in infant mortality but no change in the death rate

B a rise in net immigration but no change in the death rate

C no change in migration but the death rate rose

D the death rate fell with no change in migration

Repeated, M/J, 2019, V12, Q27

27 The US government decides to reduce the size of the quota on a good it buys from China.

What is likely to happen?

- A The good will become cheaper in the US.
- B The US balance of trade will worsen.
- C The US government's revenue will decline.
- ☒ D There will be less of the good imported into the US.

Rate at which one currency is exchange in terms of another currency

28 What is the most accurate definition of a foreign exchange rate?

- A a rate at which exports are exchanged for imports
- B a rate determined by the demand and supply of the currency
- C a value of a currency as fixed by the government
- ☒ D a value of a currency expressed in terms of another currency

Floating ER

Fixed ER

29 In 2013, the European Union (EU) levied a 48% tariff on low-priced Chinese solar panels because the low price was the result of subsidies from the Chinese government.

Which argument for protectionism was the EU using?

- ☒ A the anti-dumping argument
- B the infant industry argument
- C the strategic industry argument
- D the sunset industry argument

selling at below cost price

Industry argument

* An anti-dumping duty is a protectionist tariff that a domestic government imposes on foreign imports that it believes are priced below fair market value.

30 A large amount of the agricultural products in a country were damaged by floods.

What is likely to have happened to the price of agricultural products and the volume of imports of agricultural products?

	price of products	volume of imports
A	fall	fall
B	fall	rise
C	rise	fall
☒ D	rise	rise

Repeated,
M/J,
2019,
V12,
Q30.

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